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GROWTH, VALUE, OR GARP?

Gilbert and Sullivan marveled that every boy and girl “that’s born into the world alive / Is either a little Liberal / Or else a little Conservative.” Reading today’s financial press, you’d think that every investor is likewise genetically predestined to enroll in either the growth or the value school of investing.

The growth investor, in case you are at all fuzzy on these matters, is the one who wants companies with earnings growing at least twice as fast as those of most companies—15 percent annually would do nicely, 20 percent even better. If a company’s been able to do that for a bunch of years, you feel kind of warm toward it, so you don’t mind paying a premium for the stock. How much of a premium depends on how rosy the future looks. If you can see five years more of galloping growth, you are inclined to be especially generous. High P/Es don’t upset the growth buyer if the future looks bright enough. If all checks out, he buys the stock and hopes his projections pan out. To belabor a point, the Nifty Fifty crew of the early seventies were exemplars of this species.

The value investor, on the other hand, hates high P/Es, so he won’t touch the lionized growth stocks. He’s a cheapskate, looking